THE ENRON END-RUN

Back in 1999, Enron Corp. ranked seventh on the *Fortune* 500 list of America's top companies. The energy giant's revenues, assets, and earnings were all rising like rockets.

But what if an investor had ignored the glamour and glittering numbers—and had simply put Enron's 1999 proxy statement under the microscope of common sense? Under the heading "Certain Transactions," the proxy disclosed that Enron's chief financial officer, Andrew Fastow, was the "managing member" of two partnerships, LJM1 and LJM2, that bought "energy and communications related investments." And where was LJM1 and LJM2 buying from? Why, where else but from Enron! The proxy reported that the partnerships had already bought $170 million of assets from Enron—sometimes using money borrowed from Enron.

The intelligent investor would immediately have asked:

- Did Enron's directors approve this arrangement? (Yes, said the proxy.)
- Would Fastow get a piece of LJM's profits? (Yes, said the proxy.)
- As Enron's chief financial officer, was Fastow obligated to act exclusively in the interests of Enron's shareholders? (Of course.)
- Was Fastow therefore duty-bound to maximize the price Enron obtained for any assets it sold? (Absolutely.)
- But if LJM paid a high price for Enron's assets, would that lower LJM's potential profits—and Fastow's personal income? (Clearly.)
- On the other hand, if LJM paid a low price, would that raise profits for Fastow and his partnerships, but hurt Enron's income? (Clearly.)
- Should Enron lend Fastow's partnerships any money to buy assets from Enron that might generate a personal profit for Fastow? (Say